

The "Revenue Neutral Rate"

How to separate property reassessment from tax increases — a proposal for Benitatxell

This document refers to the IBI (Impuesto sobre Bienes Inmuebles), Spain's local property tax, calculated by applying a tax rate to each property's official assessed ("cadastral") value.

Prepared for presentation to residents and local officials

1. The problem in one sentence

When a town updates the assessed property values used for the IBI after years without doing so, the tax bill can jump sharply — even if the town does not need a single extra euro of revenue. This happens because the assessed value and the IBI tax rate are managed as if they were independent, when together they determine what each resident actually pays.

2. What the "Revenue Neutral Rate" is

The concept is simple: when assessed property values across a municipality change (for example, after a general reassessment), the local government recalculates the IBI tax rate so that total revenue collected stays the same as the previous year, except for genuine growth (new construction, newly registered properties, etc.).

Basic formula: IBI Revenue Neutral Rate = Prior year's total IBI revenue ÷ Current year's total assessed value. If the local government wants to collect more than that, it must say so explicitly, justify it, and go through a transparency process (public hearing, recorded vote, individualized notice) — rather than letting the increase arrive disguised as a routine technical update of assessed values.

3. Why it matters for Benitatxell

- Separates "reassessing" from "raising revenue": updating cadastral values is a technical matter of reflecting current market reality; raising total IBI revenue is a political decision. The Revenue Neutral Rate keeps the two clearly apart.
- Transparency instead of hidden tax increases: under the current system, a town can leave its IBI rate unchanged and quietly benefit from higher assessed values, without ever having to actively announce a tax increase.
- Compatible with a balanced budget: if the town doesn't need more revenue, applying the revenue neutral rate costs nothing — it simply prevents an unintended, unjustified increase in the IBI.

- Does not prevent raising the IBI when genuinely needed: this is not a spending cap or a straitjacket. If the town needs more resources (for example, for the water network works discussed at the Consortium), it can ask for them — but visibly, with justification, and subject to public debate, not automatically.

4. How it would work in practice (simplified proposal)

- Each time the assessment roll is updated or update coefficients are applied, the town calculates and publishes the resulting "neutral" IBI rate for that year.
- If the council approves an IBI rate above the neutral rate, it must hold a specific public session, notify taxpayers of the estimated increase, and explain why the extra revenue is needed.
- If the town takes no active decision, the neutral rate applies by default, so no one pays more purely due to administrative inertia.

Legal limit to keep in mind: Spanish law sets a minimum IBI rate of 0.4% for urban properties (and a maximum of 1.1%, extendable in some cases). This means that if the calculated neutral rate came out below 0.4%, the town could not apply it: due to legal impossibility, it would request the legal minimum rate of 0.4% instead, even though that would mean collecting somewhat more than strict neutrality would imply. This is an honest nuance worth explaining upfront: the mechanism works normally as long as the neutral rate falls within the legal range (0.4%-1.1%), but it can no longer be applied literally if the result falls below the legal floor.

5. Spanish legal framework: is this already possible?

Yes — technically, Spanish law (the Ley de Haciendas Locales) already allows municipalities to set and change the IBI tax rate within certain legal minimums and maximums. There is no Spanish national law that automatically requires a "revenue neutral rate" after a cadastral revision, nor one that mandates this reinforced transparency process. In other words: no change in national law is needed for Benitatxell to adopt this voluntarily through a local fiscal ordinance — and, as the cases below show, several Spanish towns already do.

6. Cases applied in Spain

Spanish town councils of different political colours have already lowered (or raised, depending on the case) the IBI tax rate specifically to neutralize the effect of a cadastral revision. This shows no legal reform is needed to apply it: a council resolution is enough.

Alicante (city) — 2016

When the national government applied an update coefficient that raised assessed values by 5% in the city of Alicante, the town council lowered the IBI tax rate by the same proportion to cancel out the effect on the following year's bill. The measure was driven by the governing "tripartito" coalition (PSOE, Compromís and Guanyar Alacant) through the Finance Department. This is a particularly relevant example, being in the province of Alicante itself.

Cártama (Málaga) — 2025-2026

Following the 2025 cadastral revision, the town council committed to progressively lowering the IBI rate each year (from 0.79% to 0.76%, then to 0.73%) to minimize the impact on residents' bills, while maintaining a balanced budget and zero municipal debt. The measure is being carried out by the PSOE-A

government with an absolute majority; the first reduction was also backed by Ciudadanos, Vox, and one non-attached councillor.

Segovia — 2024

Here assessed values fell across the board after the revision, and the town council raised the IBI rate (from 0.48% to 0.65%) to keep total municipal revenue stable — the same neutrality principle, applied in reverse. The measure was approved by the minority-governing Partido Popular.

7. The German case: institutionalized revenue neutrality

Germany offers the most advanced example of this principle, with its own technical name: "Aufkommensneutralität" (literally, "revenue neutrality"). Following a 2018 Federal Constitutional Court ruling that forced a reform of the property tax (Grundsteuer), the new law took effect on 1 January 2025 under the explicit principle that the reform should not, by itself, increase any municipality's revenue.

The Hesse (Hessen) case

The finance ministry of the federal state of Hesse calculated and officially published, for every one of its municipalities, the "neutral" tax rate (aufkommensneutraler Hebesatz) needed to collect the same revenue in 2025 as in 2024. Based on that calculation, the state explicitly recommended that 343 municipalities lower their rate, 73 raise it, and 5 keep it unchanged — whatever each specific case required to achieve neutrality. This is a unique example because it turns the calculation of the "neutral rate" into public information computed by the state administration itself, rather than by the municipality, removing any doubt about the calculation.

One honest nuance worth anticipating: in Germany, neutrality is a state recommendation, not a legal obligation — municipalities retain their constitutional autonomy to set whatever rate they need, and some ended up setting rates above the neutral one because they needed more revenue. This doesn't invalidate the mechanism: it demonstrates exactly its function, which is to make any increase visible and force it to be justified, not to prevent it outright.

8. Important nuances worth anticipating

- It is not an automatic tax cut: the Revenue Neutral Rate doesn't reduce what the town collects overall — it only prevents a cadastral update, by itself, from inflating total IBI revenue. It is a procedural safeguard, not a tax-cutting mechanism.
- Internal distribution can still shift: even though total municipal revenue stays flat, owners whose assessed value rose above the average will pay relatively more, and those who rose less will pay relatively less.
- Requires political will, not a new law: as Alicante, Cártama and Segovia show, there is no need to wait for any national legal reform — it only takes Benitatxell's own town council (or the water Consortium) adopting it voluntarily through a local fiscal ordinance.
- Has a legal floor: the urban IBI rate cannot be set below 0.4%. If strict neutrality would require a lower rate, the realistic proposal is to request the legal minimum of 0.4%, not a rate the law does not allow.

9. Summary message to use with the Town Council

"We are not opposed to updating the cadastre to better reflect reality. What we're asking is that, if the Town Council doesn't need more revenue, the update should not automatically translate into higher total IBI collection. And if the Council does need more resources at some point, it should say so clearly, justify it, and approve it transparently — not let it happen quietly just because assessed values went up."

Sources: Ley de Haciendas Locales (Spain); Ayuntamiento de Alicante / Alicante Plaza (2016); Ayuntamiento de Cártama (2025-2026); Ayuntamiento de Segovia / Tribuna de Segovia (2024); Finanzverwaltung NRW; Hessische Steuerverwaltung; Ministerium der Finanzen Rheinland-Pfalz; Baden-Württemberg.de.